and FDI far outweigh the cost in terms of royalties, this should not be a cause of concern.

In 2019–20, India recorded a deficit of $157.5 billion in the goods account and a surplus of $84.9 billion in the services account. Surpluses on services covered more than half of India's trade deficit on account of goods.

Services Exports Are Rising

The income generated by national GDP, inclusive of export income, can be augmented further by the income domestic factors of production can earn by investing and working abroad. Capital investments made by national enterprises abroad earn income in the form of dividends, retained earnings and capital gains. National labour working abroad earns wages and other work-related remunerations that adds to the national income. A country that makes higher direct investment abroad and can make its non-immigrant labour work abroad is much better off. This income, also referred to as primary income earned abroad, is not export income but akin to income earned from exports.

Being a capital and technology-deficient country, India has received far more Foreign Direct Investment (FDI), foreign portfolio investment (FPI) and other investments than it makes. In 2019–20, income earned by non-residents from India amounted to $49 billion, whereas Indian residents earned investment incomes of only $15.4 billion. There was a transfer of $33.6 billion from India to the rest of the world on this account. Compensation earned by Indian residents in the employment of non-residents at $5.6 billion was, however, much higher than the compensation paid by resident employers to non-resident labour, at $2.7 billion, resulting in a positive contribution of $2.9 billion to India's national income. In the primary account, India was in a deficit of $27.3 billion on the whole.

Labour-surplus countries tend to witness export of labour as well. Such labour immigrates to other countries in search of better employment and